

SUGGESTED ANSWER SCHEME**QUESTION 1****(a)**

Gam Bang Enterprise Bank Reconciliation as at 31 May 2022		
	RM	RM
Balance as per bank statement		4,654.50
Add: Deposit in transit : Kuantan Trading - 154662		273.00
Less: Outstanding cheque :		
Lipis Trading - 155770	95.00	
Rompin Trading - 155773	1,429.00	
Errors - 756630	<u>1,000.00</u>	
		<u>2,524.00</u>
Adjusted cash balance per bank		<u>2,403.50</u>
Balance per cash book		(455.00)
Add: Note Receivable	1,000.00	
Interest revenue	50.00	
Error (account payable)	18.00	
Error (account receivable)	<u>1,800.00</u>	
		2,868.00
Less: Bank charges		*(9.50)
Adjusted cash balance per cash bool		<u>2,403.50</u>

(b)

a) General Journal

Date	Accounts	Debit (RM)	Credit (RM)
2022			
Dec 31	Accounts Receivable	55,000	
	Sales		55,000
	Sales return and allowance	7,000	
	Accounts Receivable		7,000
	Sales Discount	2,800	
	Accounts Receivables		2,800
	Allowance For Doubtful Account	300	
	Accounts Receivable		300
	Bank	30,000	
	Accounts Receivable		30,000
	Accounts Receivable	1,300	
	Allowance For Doubtful Account		1,300

Set 2

	Bank	1,300	
	Accounts Receivable		1,300
	Bad debt expenses	490	
	Allowance For Doubtful Account		490

b) General Ledger

Accounts Receivables

Date	Accounts	RM	Date	Accounts	RM
2022			2022		
Jan 1	Balance b/f	20,800*	Dec 31	Sales return & allowance	7,000
Dec 31	Sales	55,000		Sales discount	2,800
	AFDA	1,300		AFDA	300
				Bank	30,000
				Bank	1,300
				Balance c/f	35,700
		77,100			77,100

Calculation:

*Accounts Receivable b/f = 15,000+32,000-2,000-500-1,700-22,000 = 20,800

**Allowance For Doubtful Account (AFDA) c/f (2021) = 10% x 20,800 = 2,080

*** AFDA c/f (2022) = 10% x 35,700 = 3,570

Allowance For Doubtful Account

Date	Accounts	RM	Date	Accounts	RM
2022			2022		
Dec 31	Account Receivables	300	Jan 1	Balance b/f	2,080**
	Balance c/f	3,570***	Dec 31	Accounts Receivable	1,300
				Bad debt expenses	490
		3,870			3,870

c)

Sejati Enterprise
Statement of Financial Position
As At 31 December 2022

	RM	RM
Current Asset		
Accounts Receivable	35,700	
-) Allowance For Doubtful Account	<u>(3,570)</u>	
Net Realisable Value		32,130

QUESTION 2

First-In-First-Out valuation method

Date	Purchases			COGS			Balance		
	Unit	Cost	Total	Unit	Cost	Total	Unit	Cost	Total
Jan 1							20	300	6,000
3				17	300	5,100	3	300	900
5	18	310	5580				3	300	900
							18	310	5,580
20				3	300	900			
				11	310	3,410	7	310	2,170
24				5	310	1,550	2	310	620
26	20	320	640				2	310	620
23							20	320	6,400
				COGS		10,960	Ending Inventory		7,020

- a) Cost of goods sold = RM10,960
- b) Ending inventory = RM7,020
- c) Gross profit = Sales – Cost of goods sold
- $$= (17 \times 400) + (14 \times 410) + (5 \times 420) - 10,960$$
- $$= (6,800 + 5,740 + 2,100) - 10,960$$
- $$= 14,640 - 10,960$$
- $$= 3,680$$

Last-In-First-Out (LIFO) valuation method

Date	Purchases			COGS			Balance		
	Unit	Cost	Total	Unit	Cost	Total	Unit	Cost	Total
Jan 1							20	300	6,000
3				17	300	5,100	3	300	900
5	18	310	5,580				3	300	900
							18	310	5,580
20				14	310	4,340	3	300	900
							4	310	1,240
24				4	310	1,240			
				1	300	300	2	300	600
26	20	320	6,400				2	300	600
23							20	320	6,400
				COGS		10,980	Ending Inventory		7,000

Set 2

- a) Cost of goods sold = RM10,980
- b) Ending inventory = RM7,020
- c) Gross profit = Sales – Cost of goods sold
- $$= (17 \times 400) + (14 \times 410) + (5 \times 420) - 10,980$$
- $$= (6,800 + 5,740 + 2,100) - 10,980$$
- $$= 14,640 - 10,980$$
- $$= 3,660$$

QUESTION 3

(A)(i)

Date	Accounts	Dr. (RM)	Cr. (RM)
2021 Apr. 20	Equipment Bank	56,500	56,500

$$\text{Depreciation expense} = \frac{220,000 - 30,000}{10 \text{ years}} + \frac{56,500 - 5,000}{5 \text{ years}}$$

ii.

Date	Accounts	Dr. (RM)	Cr. (RM)
2021 Dec. 31	Depreciation Expense - Equipment Accumulated Depreciation - Equipment	29,300	29,300

iii.

Depreciation Expense – Equipment

Date	Explanation	RM	Date	Explanation	RM
31/12/21	Accumulated Dep.	<u>29,300</u>	31/12/21	SoPoL	<u>29,300</u>
		<u>29,300</u>			<u>29,300</u>

Accumulated Depreciation – Equipment

Date	Explanation	RM	Date	Explanation	RM
31/12/21	Balance c/f	<u>105,300</u>	1/1/21	Balance b/f	76,000
		<u>105,300</u>	31/12/21	Depreciation Exp.	<u>29,300</u>
					<u>105,300</u>
			1/1/22	Balance b/f	<u>105,300</u>

(B)

Date	Account	Dr. (RM)	Cr. (RM)
Aug. 1	Depreciation Expenses (8,100 x 7/12)	4,725	
	Accumulated Depreciation - Machine		4,725

Gain/Loss on disposal = Trade-in value – Book value

$$= (70,000 - 38,500) - (54,000 - 29,025)$$

$$= 31,500 - 24,975$$

$$= \text{RM}6,525 \text{ (Gain on disposal)}$$

ii.

Date	Accounts	Dr. (RM)	Cr. (RM)
Aug. 1	Machine (New)	70,000	
	Accumulated Depreciation (24,300 + 4,725)	29,025	
	Machine (Old)		54,000
	Cash		38,500
	Gain on Disposal		6,525

QUESTION 4**Solution:**

(a) i. (a)

Date	Accounts and explanation	Debit (RM)	Credit (RM)
December 31, 2021	Dr. Interest expense	10,000	
	Dr. Interest payable	10,000	
	Dr. Notes payable	100,000	
	Cr. Bank		120,000
	(To record redemption of notes payable)		
	Dr. Interest expense	7,500	
	Cr. Interest payable		7,500
	(To record accrued interest)		

b)

Ikhlas Sdn Bhd
Statement of Financial Position
As at 31 December 2021 (Extract)

Non Current Liabilities	RM
Bond Payable	300,000
Current Liabilities	
Interest payable	7,500

ii. a)

	Monthly payment (RM) (A)	Interest expense (RM) (B)	Reduction of principal (RM) (A-B)	Principal balance (RM)
Original balance				600,000
1	3,000	2,500	500	599,500
2	3,000	2,498	502	598,998
3	3,000	2,496	504	598,494

b)

Date	Accounts and explanation	Debit (RM)	Credit (RM)
March 31, 2022	Dr. Interest expense	2,496	
	Dr. Mortgage payable	504	
	Cr. Bank		3,000
	(To record third installment payment)		

(b) Solution:

A. a)

Date	Accounts and explanation	Debit (RM)	Credit (RM)
December 31, 2021	Dr. Interest expense	10,000	
	Dr. Interest payable	10,000	
	Dr. Notes payable	100,000	
	Cr. Bank		120,000
	(To record redemption of notes payable)		
	Dr. Interest expense	7,500	
	Cr. Interest payable		7,500
	(To record accrued interest)		

b)

Ikhlas Sdn Bhd
Statement of Financial Position
As at 31 December 2021 (Extract)

Non Current Liabilities	RM
Bond Payable	300,000
Current Liabilities	
Interest payable	7,500

Set 2

b). (i)

	Monthly payment (RM) (A)	Interest expense (RM) (B)	Reduction of principal (RM) (A-B)	Principal balance (RM)
Original balance				600,000
1	3,000	2,500	500	599,500
2	3,000	2,498	502	598,998
3	3,000	2,496	504	598,494

(ii)

Date	Accounts and explanation	Debit (RM)	Credit (RM)
March 31, 2022	Dr. Interest expense Dr. Mortgage payable Cr. Bank (To record third installment payment)	2,496 504	3,000